

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



ASIA ASSET
FINANCE PLC

The unconventional finance company

For the Nine Months ended 31st Decemeber 2019

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	For the quarter ended			For the Nine Month Ended				For the Period Ended
	31.12.2019 LKR	31.12.2018 LKR	Change	31.12.2019 LKR	31.12.2018 LKR	Variance	Change	31.03.2019 LKR
	Unaudited*	Unaudited*	%	Unaudited*	Unaudited*	LKR	%	Audited*
Interest Income	757,122,004	662,848,512	14.2%	2,246,732,793	1,970,790,292	275,942,501	14.0%	2,722,660,945
Interest Expenses	(419,219,377)	(369,420,761)	13.5%	(1,252,813,782)	(1,051,188,831)	201,624,951	19.2%	(1,433,366,344)
Net Interest Income	337,902,627	293,427,751	15.2%	993,919,011	919,601,461	74,317,549	8.1%	1,289,294,601
Net Trading Gain/(Loss) on Equity Securities	(125)	-	100.00%	(125)	(9,220)	9,095	-98.6%	(9,220)
Other Operating Income	102,726,634	48,956,831	109.8%	268,468,399	120,548,603	147,919,796	122.7%	146,105,033
Less: Operating Expenses								
Personnel Costs	(149,416,402)	(66,253,706)	125.5%	(303,144,513)	(206,325,961)	96,818,552	46.9%	(280,796,890)
Provision for Staff Retirement Benefits	(1,525,610)	(2,125,000)	-28.2%	(6,102,440)	(6,325,000)	(222,560)	-3.5%	(5,272,963)
General and Administration Expenses	(134,121,887)	(163,157,744)	-17.8%	(540,069,026)	(451,630,310)	88,438,717	19.6%	(633,317,428)
Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances	(101,742,670)	(75,000,000)	35.7%	(271,937,910)	(245,000,000)	26,937,910	11.0%	(357,620,797)
Operating Profit before Value Added Tax on Financial Services	53,822,568	35,848,134	50%	141,133,396	130,859,574	10,273,821	7.9%	158,382,336
Value Added Tax on Financial Services	(11,644,458)	(13,943,242)	-16%	(35,954,458)	(48,055,484)	(12,101,026)	-25.2%	(64,475,297)
Profit Before Taxation	42,178,109	21,904,892	93%	105,178,938	82,804,091	22,374,847	27.0%	93,907,039
Income Tax (Expenses) / Reversal	(5,682,410)	(7,088,833)	-20%	(14,632,410)	(30,158,461)	(15,526,051)	-51.5%	7,022,779
Profit for the Period	36,495,700	14,816,060	146%	90,546,528	52,645,630	37,900,898	72.0%	100,929,818
Actuarial Loss on Retirement Benefit Liability	-	-	-	-	-	-	-	(719,285)
Income Tax on Components of Other Comprehensive Income	-	-	-	-	-	-	-	(201,400)
Other Comprehensive Income for the Period Net of Tax	-	-	-	-	-	-	-	(920,685)
Total Comprehensive Income for the Period	36,495,700	14,816,060	146%	90,546,528	52,645,630	37,900,898	72.0%	100,009,133
Earnings Per Share - Basic	1.02	0.76	34%	3.07	2.73		12.5%	0.94

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	31.12.2019 LKR Unaudited*	31.03.2019 LKR Audited*	Change %
ASSETS			
Cash and Cash Equivalents	764,777,542	643,777,198	18.8%
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	843,836,731	691,744,740	22.0%
Financial Assets - Held for Trading	-	125	-100.0%
Loans and Advances	8,039,051,018	7,453,374,463	7.9%
Lease Rentals Receivable and Hire Purchase	3,886,412,287	4,102,651,935	-5.3%
Other Assets	200,582,404	16,511,803	1114.8%
Income Tax Receivable	9,052,856	3,732,303	-52.1%
Vehicle Stock	3,782,714	18,913,569	-97.6%
Advances, Deposits and Prepayments	164,736,758	155,155,197	6.2%
Financial Assets - Available for Sale	506,659	506,659	-
Property, Plant and Equipment	141,993,790	158,680,580	-10.5%
Investment Property	399,423,268	393,818,513	1.4%
Deferred Tax Assets	249,583,725	249,583,725	0.0%
Intangible Assets	22,206,077	11,043,610	101.1%
Total Assets	14,725,945,827	13,899,494,420	5.9%
LIABILITIES			
Due to Banks	82,318,774	131,273,907	-37.3%
Other Liabilities	15,480,471	217,163,369	-92.9%
Other Borrowed Funds	6,900,835,029	4,958,735,615	39.2%
Due to Customers	5,505,845,867	6,617,344,955	-16.8%
Retirement Benefit Liability	27,045,931	22,088,492	22.4%
Total Liabilities	12,531,526,072	11,946,606,338	4.9%
SHAREHOLDERS' FUNDS			
Stated Capital	1,791,478,687	1,640,493,541	9.2%
Retained Earnings	325,026,368	239,007,167	36.0%
Statutory Reserve Fund and Other Reserves	77,914,700	73,387,374	6.2%
Total Equity	2,194,419,756	1,952,888,082	12.4%
Total Equity and Liabilities	14,725,945,827	13,899,494,420	5.9%
Net Assets Per Share	18.29	18.18	0.6%

* Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 31st December 2019 and its profit for the Period ended 31st December 2019.

.....sgd.....

Geethika Elwalage

Deputy General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.

.....sgd.....

R.J.A. Gunawardena

Director/CEO

.....sgd.....

Mr.C .Ramachandra

Director/Chairman

27th January 2020

Colombo

* The above figures are provisional and subject to audit.

ASIA ASSET FINANCE PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 31ST DECEMBER, 2019

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	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Balance as at 1st April, 2018 (Audited)	1,388,935,273	3,000,000	65,386,917	401,610,081	1,858,932,271
Total comprehensive income for the year					
Profit for the nine months ended 31.12.2018	-	-	-	52,645,630	52,645,630
Other comprehensive income (net of tax)				-	-
Total comprehensive income for the year				52,645,630	52,645,630
Transaction with equity holders recognized directly in equity					
Transferred to/from reserves During the Period	-	-	2,632,281	(2,632,281)	-
Balance as at 31st December 2018 (Unaudited)	1,388,935,273	3,000,000	2,632,281	451,623,430	1,911,577,903
Balance as at 01st April, 2019 (Audited)	1,640,493,541	3,000,000	70,387,374	239,007,167	1,952,888,082
Profit for the nine months ended 31.12.2019	-	-	-	90,546,528	90,546,528
Other comprehensive income (net of tax)		-			
Total comprehensive income for the year					
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	150,985,146.00				150,985,146
Transferred to/from reserves During the Period			4,527,326.38	(4,527,326)	-
Balance as at 31st Decemeber, 2019 (Unaudited*)	1,791,478,687	3,000,000	74,914,700	325,026,368	2,194,419,756

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	Finance Lease		Hire Purchase		Loans and Advances		Investment		Gold Loan		Other		Total	
	31.12.2019	31.12.2018	31.12.2019	31.12.2018	31.12.2019	31.12.2018	31.12.2019	31.12.2018	31.12.2019	31.12.2018	31.12.2019	31.12.2018	31.12.2019	31.12.2018
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	912,593,449	617,772,754	25,376	1,269,559	791,986,001	918,715,775	78,910,137	73,254,000	462,536,024	319,869,438	681,806	39,908,766	2,246,732,793	1,970,790,292
Other Income	8,801,159	5,929,081	1,116,100	212,908	88,647,578	32,153,649	280,000	1,836,602	133,359,173	64,971,393	36,264,389	15,444,970	268,468,399	120,548,603
Total Revenue	921,394,608	623,701,835	1,141,475	1,482,466	880,633,579	950,869,423	79,190,137	75,090,603	595,895,197	384,840,832	36,946,195	55,353,736	2,515,201,192	2,091,338,895
Segmental Result	51,701,450.37	39,026,366	64,051	92,761	49,414,261	59,497,946	4,443,530	4,698,581	33,436,972	24,080,319	2,073,131	3,463,602	141,133,396	130,859,574
Value Added Tax on Financial Services													(35,954,458)	(48,055,484)
Profits from Operations													105,178,938	82,804,091
Income Tax Charge/Reversal for the Period													(14,632,410)	(30,158,461)
Net profit for the Period													90,546,528	52,645,630
Segment Assets	3,886,412,287	3,408,853,967	-	19,750,656	4,510,126,176	5,111,842,930	843,836,731	1,589,962,784	3,528,924,841	2,243,241,095	-	-	12,769,300,036	12,373,651,432
Unallocated Assets	-	-									1,956,645,792	837,681,441	1,956,645,792	837,681,441
Total Assets	3,886,412,287	1,221,623,119	-	219,610,439	4,510,126,176	5,684,287,268	843,836,731	993,453,450	3,528,924,841	1,099,089,716	1,956,645,792	640,692,395	14,725,945,827	13,211,332,873
Segment Liabilities	3,801,101,206	3,098,152,903	-	17,950,476	4,411,123,881	4,645,922,403	825,313,575	1,445,045,127	3,451,461,008	2,038,780,182	-	-	12,488,999,670	11,245,851,090
Unallocated Liabilities			-	-	-	-	-	-	-	-	42,526,402	53,397,221	42,526,402	53,397,220
Total Liabilities	3,801,101,206	1,079,119,247	-	193,992,606	4,411,123,881	5,021,208,016	825,313,575	877,565,856	3,451,461,008	970,879,520	42,526,402	62,185,056	12,531,526,072	11,299,248,311

In determining segment results,

Expenses have been allocated proportionately based on -

Segment Liabilities have been proportionately allocated based on the segment assets.

	31.12.2019 Rs. Unaudited*	31.03.2019 Rs. Audited*
Cash Flows From / (Used in) Operating Activities		
Profit Before Tax	105,178,938	93,907,039
Adjustments for		
Depreciation and amortization	40,260,607	51,006,612
Impairment of lease hire purchase, loans and advances	271,937,910	357,620,797
Early termination of loans, leases and hire purchase	(10,157,077)	(35,561,373)
Non-cash items included in profit before tax (WHT and Notional tax)	(1,142,742)	(1,517,200)
Net Interest Margin Adjustment	-	24,153,962
Interest income on commercial papers	-	(6,234,305)
Profit on sale of vehicle stock	1,205,856	(86,431)
Profit on sale of held for trading securities	-	1,614
Gain/loss on fair valuation of held for trading securities	-	7,606
Gains from sale of property, plant and equipment, investment property and real estate inv	(134,367)	(2,841,867)
Provision for retirement benefit liability	6,102,440	5,272,963
Interest expense on other borrowings	655,782,691	581,621,544
Profit from Operation Before Working Capital Changes	1,069,034,256	1,067,350,961
	-	
(Increase)/Decrease in Lease Rentals Receivable and Hire Purchase	157,811,272	(1,936,369,097)
Increase in Loans and Advances	(792,684,283)	(862,275,657)
(Increase)/Decrease in Other Receivables	(173,290,816)	(924,414)
(Increase)/Decrease in Deposits and Prepayments	(20,361,344)	(47,300,314)
(Increase)/Decrease in Other Financial Assets	-	-
Increase in Deposits from Customers	(1,111,499,088)	261,277,709
Increase/(Decrease) in Other Liabilities	(201,682,643)	164,012,558
Net Cash From/(Used in) Operating Activities before Income Tax Payments	(1,072,672,646)	(1,354,228,254)
Taxes Paid	(18,810,220)	(31,617,521)
Gratuity Paid	(1,145,000)	(3,948,750)
Net Cash From Operating Activities	(1,092,627,866)	(1,389,794,525)
Cash Flows from / (Used in) Investing Activities		
Acquisition of Property, Plant and Equipment & Intangible Assets	(21,105,483)	(57,293,522)
Acquisition of intangible assets	(13,966,158)	(5,506,856)
Acquisition and proceeds from sale of Investment Property	(349,622)	(14,220,059)
Proceeds from sale of investment property	-	17,300,000
Acquisition and proceeds of Vehicle Stock	12,325,000	(37,565,049)
Proceeds from sale of vehicle stock	-	19,000,000
Proceeds from commercial papers	-	213,479,053
Proceeds from sales of held for trading securities	-	204,389
Proceeds from sales of property, plant and equipment	469,725	2,836,973
Net Cash Flows From/(Used in) Investing Activities	(22,626,538)	138,234,929
Cash Flows from / (Used in) Financing Activities		
Repayment of Other Borrowed Funds	(2,985,484,294)	(3,426,336,554)
Proceeds from Other Borrowed Funds	4,271,801,017	4,802,371,833
Dividends paid	-	-
Proceeds from Right issue	150,985,150	251,558,268
Net Cash Flows From/(Used in) Financing Activities	1,437,301,873	1,627,593,547
Net Increase in Cash and Cash Equivalents	322,047,468	376,033,951
Cash and Cash Equivalents at the Beginning of the Period	1,204,248,031	828,214,080
Cash and Cash Equivalents at the End of the Period	1,526,295,499	1,204,248,031
At the End of the Period		
Cash and Cash Equivalents	764,777,541	643,777,198
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	843,836,731	691,744,740
Bank Overdraft	(82,318,774)	(131,273,907)
	1,526,295,498	1,204,248,031

* The above figures are provisional and subject to audit.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 31st March 2019.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 31st December, 2019 (including comparatives) were approved and authorized for issue on 28th January 2020 in accordance with a resolution of the board of directors on 28th January 2020.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Earning per share has been annualised for the quarter ended 31st December 2019 in the statement of Comprehensive income.
06. Subsequent to Balance sheet date, no circumstances have arisen that would require adjustments to or disclosure in the Financial statements.

07. Stated capital is represented by number of shares in issue as follows.

	<u>31.12.2019</u>	<u>31.03.2019</u>
Issued and Fully Paid Ordinary Shares (Quoted)	124,195,533	109,097,018

08. Market Value of Shares

	<u>31.12.2019</u>	<u>31.03.2019</u>
	<u>Rs.</u>	<u>Rs.</u>
Highest Traded Price	9.50	9.00
Lowest Traded Price	7.70	7.80
Closing Price	8.80	8.40

09. There has been no significant change to the contingent liabilities disclosed in the previous Audited Financial statements.

10. Major 20 share holders as at 31st Decemeber 2019

NAME	No of Shares	(%)
1 MUTHOOT FINANCE LIMITED	90,558,778	72.92
2 SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	7,560,504	6.09
3 J.B. COCOSHELL (PVT) LTD	4,242,950	3.42
4 MR S.D.R. ARUDPRAGASAM	2,460,638	1.98
5 PEOPLE'S LEASING & FINANCE PLC/MR.W.K.R.JAYAKODY	1,501,280	1.21
6 MR P.A.D.R.U. PUSHPAKUMARA	1,453,909	1.17
7 SEYLAN BANK PLC/W.D.N.H.PERERA	1,412,989	1.14
8 MR K.M.S.M. RAZEEK & MR K.S.M. RAJUBDEEN & MR S.M.R. MOHAMED	740,000	0.60
9 MUTIARA HOLDINGS (PRIVATE) LTD	510,000	0.41
10 MR C.W. GUNASEKARA	490,000	0.39
11 CODE-GEN INTERNATIONAL PVT LTD	424,118	0.34
12 MR S. VASUDEVAN & MRS V. SARASWATHI	405,582	0.33
13 DFCC BANK PLC/MR.K.S.D.SENAWEERA	329,074	0.26
14 MR P.P. SUBASINGHE	302,623	0.24
15 MR C.R. PERERA	274,999	0.22
16 MERCHANT BANK OF SRILANKA & FINANCE PLC / W.K.R.JAYAKODI	234,928	0.19
17 SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM	229,389	0.18
18 MR U.C. BANDARANAYAKE & MRS L. BANDARANAYAKE	200,000	0.16
19 MR T.S. SALIM	197,495	0.16
20 MRS M. ARUDPRAGASAM	174,262	0.14
	113,703,518	91.55
Othres	10,492,015	8.45
Total	124,195,533	100

No of Shareholders	% of Shareholding
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11. Shares held by public as at 31st Decemeber 2019

2,246	27%
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12. Directors Share Holding

Name	No. of Shares 31.12.2019	%
Mr.Chandrakumar Ramachandra	80,000	0.064
Mr.Rajiv James Abeywickrema Gunawardena	-	-
Ms.Dayangani Priyanthi Pieris	60,000	0.048
Mr.R.A.T.P.Perera	-	-
Mr.G.Alexander	-	-
Mr.K.R.Bijimon	-	-
Mr.R.A.B. Basnayake	-	-
Mr.J.P.D.R. Jayasekara	-	-
Mr.K.G.K.Pillai	-	-

10. Utilization of right Issue Fund

Objecti ve No	Objective as per Prospectus /Circular	Opening Date	Branch	Amount allocated as per Prospectus/Circular in LKR	Proposed date of utilization as per Prospectus/Cir	Amount allocated from Proceeds in LKR A	% of total proce eds	Amount utilized in LKR B	% utilization against allocation
1	Approved 10 branches	2018 November -19	Thalawakele	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2018 November -19	Gampola	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 January -16	Ragala	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2018 November -24	Nawalapitiya	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2018 December -21	Chunnakam	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 February - 25	Puthukkudiyiruppu	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 April -24	Kalmunai	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 December - 05	Mullativu	24,000,000.00	20.12.2019	24,000,000.00	6%	24,000,000.00	100%
				192,000,000.00		192,000,000.00	48%	192,000,000.00	
2	Approval Pending	2020 January -03	Puttalam	210,543,114	Balance Right proceed are invested with Money Market and Saving accounts of AAF				
		2020-January -23	Balangoda						
		2020-February -13	Kalavanchikudy						
		2020-February -26	Akkaraipattu						
		2020-March-15	Badulla						
		2020-January -14	Awissawella						
		2020-April -22	Kothmale						
		2020-March 26	Welimada						
		2020-April 8	Haputhale						
		2020-May -12	Bandarawela						
		2020-December- 09	Matale						
		2020-January -03	Kegalle						
				402,543,114.00					

13 Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB 139 PQ

Registered Office

No.76/1, Dharmapala Mawatha, Colombo 03.

Telephone

011 5 66 99 22

Fax

011 2 57 74 77

E-mail

info@asiaassetfinance.lk

Website

<http://www.asiaassetfinance.com/>

Board of Directors of the Company

Mr.Chandrakumar Ramachandra
Mr.Rajiv James Abeywickrema Gunawardena
Mrs.Dayangani Priyanthi Pieris
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Kuttikattu Rajappan Bijimon
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake
Mr.Danasiri Rupakumara Jayasekara

Company Secretary

P R Secretarial Services (Pvt) Ltd
59 Gregory Road,
Colombo 07.

Lawyers of the Company

Shiranthi Gunawardana Associates
No. 22/1, Elliot Place
Colombo 08.

Company Auditors - External

BDO Partners
65/2, Sir Chiththapalam A Gardiner Mawatha,
Colombo 02.

Credit Rating

BBB+

Bankers of the Company :

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Bank PLC
Hatton National Bank PLC
Pan Asia Banking Corporation PLC
People's Bank
Sampath Bank PLC
National Development Bank PLC
Seylan Bank PLC
Indian Bank
Nation Trust Bank

Audit Committee

Mr.Thusitha Perera
Mr. Danasiri Rupakumara Jayasekara
Mr.Chandrakumar Ramachandra
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee

Mr.Chandrakumar Ramachandra
Mr.Thusitha Perera
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Roshan De Silva Gunasekara (COO)
Mr. Danasiri Rupakumara Jayasekara
Mr.Kuttikattu Rajappan Bijimon

Remuneration Committee

Mr.Chandrakumar Ramachandra
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Rajitha Ananda Bandara Basnayake
Mr.Danasiri Rupakumara Jayasekara

Related Party Transactions Review Committee

Mr.Danasiri Rupakumara Jayasekara
Mrs.Dayangani Priyanthi Pieris
Mr.Kuttikattu Rajappan Bijimon
Mr.Rajitha Ananda Bandara Basnayake

IT committee

Mr.Rajitha Ananda Bandara Basnayake
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Chandrakumar Ramachandra
Mrs.Dayangani Priyanthi Pieris
Mr.Danasiri Rupakumara Jayasekara

Credit Committee

Mr.Danasiri Rupakumara Jayasekara
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Chandrakumar Ramachandra